

08 - Identity Verification and TPP Module

Overview

This module handles two integrated functions:

1. Identity Verification for taxpayer intake and pre-transmission checks.
2. TPP (Third-Party Payer) reconciliation for fee and disbursement consistency.

Part A: Identity Verification

Verification Flow

[Client Intake]

- > [Document Scan: Government ID]
- > [SSN/ITIN Format Validation]
- > [IRS Cross-Reference via Tunnel]
- > [Biometric Liveness (optional)]
- > [IP PIN Verification (if applicable)]
- > [Identity Score Computed]
- > PASS: Proceed to preparation
- > FAIL x3: Manual review queue

Verification Layers

Layer	Method	Required
Document Scan	Government-issued photo ID	Yes
SSN/ITIN Validation	Format + IRS TDS lookup	Yes
Date of Birth Match	Compare ID and intake data	Yes
Address Verification	USPS + prior return match	Recommended
Biometric Liveness	Facial match to ID photo	Optional
IP PIN Verification	IRS-issued 6-digit IP PIN	Conditional
Knowledge-Based Auth	Credit bureau questions	Fallback only

Identity Scores

Score Range	Status	Action
90-100	Verified	Proceed

Score Range	Status	Action
70-89	Conditional	Additional verification step
50-69	Uncertain	Manual review
0-49	Failed	Escalate, do not transmit

PII Security Requirements

```
pii_security:
  encryption_at_rest: "AES-256"
  encryption_in_transit: "TLS 1.3"
  ssn_log_masking: true
  itin_log_masking: true
  dob_log_masking: true
  document_image_retention_days: 7
  verification_result_ttl_days: 90
  compliance_reference: "IRS Publication 4557"
```

Part B: TPP Reconciliation

Reconciliation Flow

```
[Daily 02:00 CT Job]
-> [Pull expected disbursements from ledger]
-> [Fetch actual disbursements from TPP API]
-> [Match by TIN + Product ID + Tax Year]
-> [Compute variance = expected - received]
-> [Auto-approve <= $0.01]
-> [Review $0.01-$1.00]
-> [Dispute > $1.00]
-> [Generate report and post to ledger]
```

Bank Product Types

Product Code	Description
RT	Refund Transfer
EA	Easy Advance
RA	Refund Advance
EFC	ERO Fee Collect
PC	Prepaid Card

Reconciliation Report Fields

- batch_id
- client_tin_masked

- product_code
- tax_year
- expected_amount
- received_amount
- variance
- variance_status (approved/review/disputed)
- reconciled_at
- dispute_ref

TPP Configuration

```
tpp_reconciliation:  
  efin: "748335"  
  run_schedule: "0 2 * * *"  
  variance_auto_approve: 0.01  
  variance_review: 1.00  
  partner_api_endpoint: "[Production TPP endpoint]"  
  partner_api_key: "[From secrets vault]"  
  dispute_escalation_engine: "workflow"  
  audit_log_enabled: true  
  dry_run: false
```